

Name _____

Period _____

UNIT 1.5



INFLATION

Use what you've learned about **INFLATION** to answer the questions below.

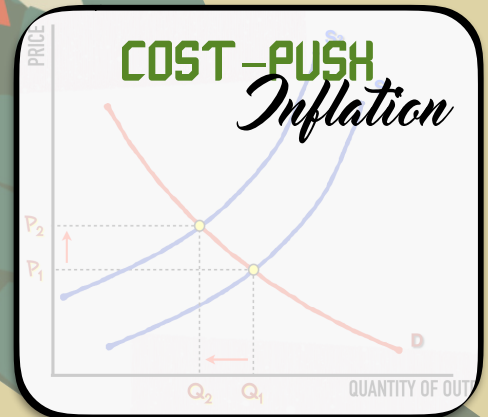
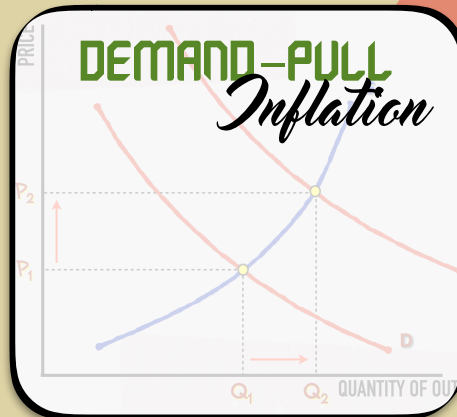
PART A

Define **INFLATION**.

How does inflation affect consumer **PURCHASING POWER**? Explain.

Define **DEFLATION**.

Define and explain each of the three **CAUSES OF INFLATION**.



Define **HYPERINFLATION**.

What is the **WAGE-PRICE SPIRAL**? If left unchecked, what will eventually happen to the economy?

CALCULATING

THE

INFLATION Rate

PART B

The **INFLATION RATE** is the percentage change in aggregate price level across an entire economy in one year. Calculating the inflation rate requires economists to compare the **MARKET BASKET** of an economy from one year to another. Use the data below to calculate the market basket of each economy for the years listed, and then calculate the inflation or deflation rate year by year.

UNITED STATES MARKET BASKET - 2015

	Beef	Milk	Bread
PRICE	\$3	\$3	\$2
QUANTITY	20,000	10,000	5000
TOTAL			

UNITED STATES MARKET BASKET - 2016

	Beef	Milk	Bread
PRICE	\$4	\$4	\$3
QUANTITY	20,000	10,000	5000
TOTAL			

FRANCE MARKET BASKET - 2015

	Bread	Butter	Grapes
PRICE	\$2.50	\$5	\$2
QUANTITY	40,000	10,000	50,000
TOTAL			

FRANCE STATES MARKET BASKET - 2016

	Bread	Butter	Grapes
PRICE	\$2	\$4.50	\$1.50
QUANTITY	40,000	10,000	50,000
TOTAL			

REMEMBER!

$$I.R. = \frac{MB \text{ NOW} - MB \text{ Y1}}{MB \text{ Y1}}$$



2015 Market Basket _____

2016 Market Basket _____

2016 Inflation/Deflation Rate _____



2015 Market Basket _____

2016 Market Basket _____

2016 Inflation/Deflation Rate _____

CALCULATING

THE

INFLATION Rate

PART B

BRAZIL MARKET BASKET - 2015

	Bananas	Coffee	Milk
PRICE	\$2	\$3.50	\$3
QUANTITY	10,000	20,000	20,000
TOTAL			

BRAZIL MARKET BASKET - 2016

	Bananas	Coffee	Milk
PRICE	\$2.25	\$3.50	\$3.25
QUANTITY	10,000	20,000	20,000
TOTAL			

REMEMBER!

$$I.R. = \frac{MB \text{ NOW} - MB \text{ Y1}}{MB \text{ Y1}}$$



2015 Market Basket _____

2016 Market Basket _____

2016 Inflation/Deflation Rate _____

ITALY MARKET BASKET - 2015

	Tomatoes	Bread	Grapes
PRICE	\$2	\$3	\$2.50
QUANTITY	50,000	50,000	50,000
TOTAL			

ITALY MARKET BASKET - 2016

	Tomatoes	Bread	Grapes
PRICE	\$1.50	\$3.50	\$2.50
QUANTITY	50,000	50,000	50,000
TOTAL			



2015 Market Basket _____

2016 Market Basket _____

2016 Inflation/Deflation Rate _____



THE EFFECTS OF INFLATION

PART C

Inflation **HURTS** some in the economy and **HELPS** others. Read each description below and determine whether each participant is **HURT**, **HELPED**, or **UNAFFECTED** by **UNANTICIPATED INFLATION**. Then, **EXPLAIN** your conclusion.

1. A FIRM THAT EXPERIENCES A HIGHER INFLATION RATE IN THE FACTOR MARKET THAN THE PRODUCT MARKET. _____

EXPLAIN:

2. A CONSUMER WHO TAKES OUT A LOAN AT A FIXED INTEREST RATE. _____

EXPLAIN:

3. A WORKER WHOSE NOMINAL WAGES REMAIN STAGNANT OVER ONE YEAR. _____

EXPLAIN:

4. A STUDENT WHO LENDS HIS FRIEND \$10 TO BUY LUNCH. _____

EXPLAIN:

5. A RETIRED COUPLE WHO LIVE ON A FIXED INCOME. _____

EXPLAIN:

6. A TEACHER WHO HAS A CONTRACTED SALARY WITH A "COST OF LIVING" ADJUSTMENT. _____

EXPLAIN:

7. FIRMS DURING WORLD WAR II, AFTER THE GOVERNMENT ENACTED A WAGE-FREEZE. _____

EXPLAIN:

8. A GROCERY WORKER WHOSE NOMINAL WAGES ADJUST TO MATCH INFLATION. _____

EXPLAIN:

9. A HOME BUYER WHO TAKES OUT A LOAN AT AN ADJUSTABLE INTEREST RATE. _____

EXPLAIN:

10. AN INVESTOR WHO BUYS A U.S. TREASURY BOND AT A FIXED INTEREST RATE OF 5% ANNUALLY. _____

EXPLAIN:

